Tamboli Industries Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Holding company whose wholly owned subsidiary, Tamboli Castings, makes fully machined, high-precision investment-cast components at a 600-tonne-a-year campus in Bhavnagar, Gujarat, for pneumatics and automation, pumps and valves, automotive, general engineering and aerospace customers in more than 27 countries. Manufacturing is 98% of income.

Number	Value	What it means
Market cap	Rs 325 cr	What the market values the whole company at (Screener).
FY26 revenue (consolidated)	Rs 80 cr	Sales for the year, up 17% after two years of decline (Rs 83 cr in FY23, Rs 75 cr FY24, Rs 69 cr FY25).
FY26 profit after tax	Rs 9.8 cr	Up 27% on FY25's Rs 7.7 cr.
Q2 FY27 revenue	Rs 23.5 cr	July to September 2026 sales, up 22.7% on last year, the best quarter in the table.
Q2 FY27 EBITDA margin	25%	Operating profit per Rs 100 of sales, up from 20% a year ago; profit after tax Rs 3.41 cr, up 76%.
Debt / P/E	Almost debt-free, P/E about 26x	A clean balance sheet; the price is about 26 years of current consolidated earnings. Return on equity is low at about 7-9%.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive.

Sources used:

- Screener.in consolidated page for Tamboli Industries (TAMBOLIIN / BSE 533170), quarterly and annual numbers to Sep 2026
- Tamboli Industries FY26 annual report, Management Discussion & Analysis (via IndiaInfoline)
- Q2 FY27 results summary and investor presentation coverage, 5 Nov 2026 (Multibagg)
- DSIJ article on the global OEM development programme, 12 Oct 2026
- Press coverage of the OEM programme (Choice India, Construction World, Oct 2026)
- FY26 results coverage (ScanX, May 2026) and Q2 FY27 results coverage (JM Financial, Univest, Nov 2026)
- Coverage of Tamboli Castings exiting the EOU scheme while keeping export house status (Apr 2026)

Latest update highlights: Q2 FY27 results and presentation (5 Nov 2026)

- Revenue up 22.7% to Rs 23.5 cr; EBITDA Rs 6.0 cr, up 49%, margin 25% vs 20% a year ago; profit up 76% to Rs 3.41 cr. H1 FY27 profit Rs 5.51 cr, up 71%.
- October 2026: Tamboli Castings won initial development orders from an unnamed Fortune 100 global OEM making off-highway equipment, covering more than 50 components. Potential is over Rs 20 cr of yearly revenue at full scale, roughly a quarter of FY26 sales, but it takes two to three years through development and approvals.
- Management is 'optimistic about FY27 and FY28', citing European accounts, large US projects and some Indian projects, and expects optimum capacity use by FY28. It is adding CNC machining capacity.
- No numeric guidance is given, and there are no earnings calls.

Business mix & capacity

Domestic vs export: Export-focused, with customers in more than 27 countries; the company says a 'significant share' of revenue is exports but gives no percentage. Planned coverage is 50% Europe, 25% India and 20% US. FY26 sector mix: pneumatics and automation 30%, pumps and valves 30%, automotive 20%, general engineering 18%, aerospace 2%.

Capacity use: 600 tonnes a year. Utilisation not disclosed; management expects optimum use by FY28, which implies spare room today.

3. Earning Trigger thesis

The possible trigger is new global customers moving from prototypes to steady supply, led by the Fortune 100 off-highway OEM programme won in October 2026 and a railway/locomotive OEM where most approvals are in place. With spare capacity, more volume should lift margins, and the last few quarters show that starting. But the big programme is a potential, not an order book, and takes two to three years.

Trigger	What management said	Evidence so far	Time horizon	Strength
Fortune 100 off-highway OEM programme	Over Rs 20 cr a year potential at full transition, phased	Initial development orders only (Oct 2026)	2-3 years	Unproven: not in sales yet
Railway/locomotive OEM	Approved component portfolio, scaling as the customer ramps	FY26 MD&A admits the move to commercial scale was slower than projected	1-2 years	Weak: slipping
Operating leverage on spare capacity	Scale is central; margins improve as revenue builds	EBITDA margin 25% in Q2 FY27 vs 20% a year ago	Now	Moderate: showing

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already almost debt-free.
New business	Yes	Development orders from a Fortune 100 off-highway OEM for over 50 components (Oct 2026).
Margin up	Yes	Q2 FY27 EBITDA margin 25%, up from 20%; management expects operating leverage to support margins (Nov 2026 presentation).
New management	No	Nothing reported.
New capacity	Yes	Adding CNC machining capacity as new opportunities ramp up (Nov 2026 presentation).
Big orders	No	The OEM programme is a potential of over Rs 20 cr a year, not a confirmed order book.
Turnaround	No	Sales fell in FY24 and FY25 and recovered in FY26, but the company doesn't describe a turnaround.
Promoter buying	No	Promoter holding flat at 52.83%.

The single concrete driver: A Fortune 100 off-highway equipment maker picked Tamboli Castings to develop over 50 components, worth over Rs 20 cr a year at full scale in two to three years.

3c. Margin bridge

EBITDA margin is 25% now versus 20% a year ago. The company credits cost efficiency, careful customer selection and a better product mix, and says more scale on spare capacity keeps helping (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY25	Growth from global customer projects	Consolidated sales fell from Rs 83 cr (FY23) to Rs 69 cr (FY25)	Missed
FY26 annual report	Railway OEM to scale up after approvals	Admitted slower than projected	Partly
FY26 annual report	Optimistic on FY27; projects moving to commercial supply	H1 FY27 sales up 14%, profit up 71%	Delivered so far

Period	What was promised	What actually happened	Verdict
Oct 2026	Fortune 100 OEM programme, phased orders	Initial development orders received	Too early

Narrative drift: With no concalls and no numeric guidance, there is little to hold management to. The story (export casting for global OEMs, scale lifts margins) has stayed the same, and the recent results back it, but past prototype-to-production moves have run slower than the company said.

5. Bottom line

Durable earning trigger? → MAYBE

A named, credible driver (the Fortune 100 OEM programme) plus margin gains already visible, but the big programme is a two-to-three-year potential, not revenue, and the railway business has been slow.

Management consistent? → MAYBE

Too little on record to call it consistent: no calls, no targets, two years of falling sales before FY26, and an admitted delay on railway scaling. The last three quarters do match the optimism.

6. Checkpoints for next quarter

- Sales growth stays above last year in the December quarter
- EBITDA margin stays near the September quarter's level
- Further phased orders from the Fortune 100 OEM are announced

This is not investment advice. Do your own due diligence.